Project Proposal

This project plan should outline the work required to renovate and modernize the ¾ acre property at 461 Avenida Del Recreo. There are two structures on the property: a 1,438 square foot main house with 3 bedrooms, 1 bathroom, a large living room and a laundry room, and a 1 bedroom 1 bathroom cottage. The homeowner currently lives in the main house, and a rental tenant occupies the cottage.

The goal of the project is to complete necessary repairs before they become major issues, attract ideal long-term renters, and increase property value. The homeowner intends to continue living in the main house and renting the cottage during renovation, then move to the cottage once the main house is ready to rent in order to minimize lapse in rental payments. The work should be outlined into phases, prioritizing completion of the front house, including interior, exterior and landscape work, before shifting focus to the cottage. It might make the most sense to combine front house and cottage exterior painting.

ROI

- Complete property repaint: 65% ROI upon sale and boosts property value 2-5%
    - $150+ increase in monthly rental price
    - Exact return dependant on rental length vs sale timing
- New windows: 25% decrease in energy use, pays off in 6 years
- Bathroom addition: 10% increase in rental price capacity, X% increase in home value
- Bathroom renovation: 60% ROI upon sale, $200+ increase in monthly rental price, pays off in 2-4 years.

Scope of Work - Main House

These are the repairs and improvements Jon and Janet identified during their initial walkthrough November 1, 2026, organized by their corresponding living area and complete with detailed scope options. Options A include repairs critical to renting the house with the lowest upfront cost and fastest construction velocity to renter-ready. Options B are designed for long-term value and increased property value, while more expensive upfront and slower to complete.

Throughout House

- Windows
    - Option A - Refurbish existing
        - Cost estimate: $4,000
        - Service ropes/weights, calibrate, replace components as needed, repair glazing, install weatherstripping
        - The existing windows seem to match through and have valuable style
        - Old windows are not energy efficient
    - Option B - Replace with retrofit (if compatible)
        - Cost estimate: $18,000.00

            - High upfront cost, with long-term value
            - ROI calculation
                - High-efficiency window replacements recoup an average of 68.5% of their cost at resale. ($8,220 return on $12,000 when selling)
                - Windows account for roughly 25% of a home's total heating and cooling bills. Establish baseline energy usage with new HVAC according to local averages. ($3,000/yr on HVAC returns $750/yr utility savings)
                - If renters pay their own utilities, it could make sense to simply refurbish the existing windows until it's time to sell.
                - Protect new HVAC asset by reducing load and delay replacement costs an average of 3 years. (If the new 15 year system costs $10,000, expect a $666.00/yr depreciation - saving $2000 in long-term asset costs)
                - Review options for energy efficient incentives and rebates.

- Doors
    - Option A - Refurbish existing
        - Cost estimate: $4,000
        - Meet requirements to attract long-term renters
        - New, matching handles throughout
    - Option B - Replace with solid-core interior and solid wood or glass panel exterior
        - Cost estimate: $11,000
        - New, matching handles throughout

- Hardwood Floors
    - Option A - Recoat polyurethane
        - Cost estimate: $5/sq ft
        - Less labor and cheaper materials, more durable and less maintenance
    - Option B - Refinish with Hard-wax Oil
        - Cost estimate: $8.50/sq ft
        - Nicer finish

Living Room

- Option A
    - Cost Estimate: $2500
    - Repair termite damaged areas of hardwood floor - $500
    - Replace light fixtures - $600
    - Repair trim - $500
    - Install new fireplace mantel - $900
- Option B
    - Cost estimate: $3,700
    - Everything from Option A plus…
    - Install plaster finish over fireplace brick - $1200

Kitchen

- Option A - required before renting
    - Cost estimate: $8,000
    - Repaint cabinets - $3,000
        - Standard prep, prime and paint to contractor-grade finish
    - Replace flooring - $1500
    - Refurbish counter tops - $1000
    - Replace hood - $1000
    - Replace light fixtures - $300
    - Hide ceiling damage - $500
- Option B - additional improvements
    - Cost estimate: $19,000
    - Everything from Option A plus…
    - Refurbish cabinets - $5,000
        - Premium prep, filler, prime and paint to designer-grade finish
        - Replace hinges and handles
    - Install new counter tops - $3,000
    - Install new sink - $1200
    - Repair ceiling drywall - $2,000
        - New tape around edges, float repair areas, skim entire surface, texture
- Option C - full kitchen remodel
    - Cost estimate $45,000
    - New everything

Laundry Room

- Option A
    - Cost estimate: $2,000
    - Repair rodent damaged floor
    - Replace flooring
    - Remove wallpaper
    - Repair southern wall with electrical panel
    - Repaint cabinets
    - Replace broken window pane
    - Install new exterior door threshold
- Option B
    - Cost estimate: $3,700
    - Everything from Option A plus…
    - Build water heater closet
    - Refurbish cabinets (new hardware, designer-grade finish, etc)

Hallway

- Cost estimate: $500
- Replace cabinet/drawer handles

- Replace/install light fixture
- Repair trim

Bedroom 1

- Option A
    - Cost estimate: $800
    - Replace light fixtures
    - Remove failing paint
    - Repair damaged trim/casings
- Option B
    - Cost estimate: $1,200
    - Everything from Option A plus…
    - Repair and retexture entire ceiling

Bedroom 2

- Option A
    - Cost estimate: $1,200
    - Repair water damaged drywall on south wall
    - Replace light fixtures
    - Remove failing paint
    - Repair damaged trim/casings

Bathroom

- Option A
    - Cost estimate: $2,500
    - Install shower curb to prevent excessive floor runoff (no bathtub)
    - Install new vanity
    - Install new mirror
    - Install new light fixtures
    - Repair and brighten tile grout
- Option B
    - Cost estimate: $6,000
    - Everything in Option A (except curb) plus…
    - Remove pony wall bench
    - Install new shower/bathtub
- Option C
    - Cost estimate: $15,000
    - Everything from Option B plus…
    - Full remodel including floor replacement

Master Bedroom

- Option A
    - Cost estimate: $1,200
    - Repair floor at exterior door

    - Install new threshold
    - Install new light fixtures
    - Repair cracked plaster in closet
- Option B
    - Cost estimate: $30,000
    - Bathroom addition
    - Consider adding a private bathroom for that room

Landscape

- Front yard
    - Cost estimate: $3,500
    - Design a low maintenance, low water-use landscape with a welcoming front entrance, thoughtful path and simplified feel that increases curb appeal.
- Side Yard (off master bedroom)
    - Cost estimate: $3,500
    - Remove pond
    - Clear out brush, firewood, stumps, trash, etc
    - Install privacy fence from south property line to side door with gate
    - Install gate to backyard
    - Install ground covering
- Back yard
    - Cost estimate: $4,000
    - Replace rake wire support
    - Grade or level selected areas
    - Install ground covering
    - Remove gates to cottage
    - Add gate to driveway
    - Extend carport fence the full length of the yard
    - Extend privacy fence between main house and cottage
    - Plant hedges or vines to hide cottage and utilize privacy fence
    - Reconfigure wire fencing to extend the center length of the yard
    - Protect above-ground water drain and septic vents

Exterior Repairs

- South: Replace missing siding, replace battens as needed
- East: Repair water damaged porch ceiling and railings
- North: Install crawlspace doors, install vent covers, replace broken siding, address exposed electrical box, remove damaged gutter,
- West: Clean up wires and replace battens
- Install gutters in critical locations
- Car Port: repair leaking roof

Interior Repaint

- Option A
    - Cost estimate: $8,000
    - Standard prep, spot prime and paint (some stains may reappear)
    - Single color satin for body and trim throughout
    - Flat white ceilings
- Option B
    - Cost estimate: $10,000
    - Premium paint, two colors for satin body and semi-gloss urethane trim
    - One additional accent wall color

Exterior Repaint

- Option A
    - Cost estimate: $8,000
    - Standard prep, spot prime and paint (uneven surfaces may remain)
    - Two colors for body and trim, front porch same color as body
    - Paint chimney
- Option B
    - Cost estimate: $11,000
    - More detailed prep and premium paint (repairs and blemishes disappear)